ENERGY SECURITY · STRATEGIC ANALYSIS

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The Unfillable Gap

20% of global LNG. The arithmetic doesn't work. Here's what happens next

Market Access X

The Unfillable Gap

Why the LNG Shock Cannot Be Absorbed — and What Comes After

This report is not investment advice. It is intended for professionals operating at the intersection of trade policy, geopolitics, and supply chain strategy.

Executive Summary

In the first days of the US/Israel – Iran conflict, the Strait of Hormuz closed and Qatar shut down Ras Laffan, the world's largest LNG export complex. That single event removed approximately 20 per cent of global LNG supply from the market. The final tankers that loaded before the blockade are now arriving at their destinations. The real shock has not yet been felt.

The dominant policy response involves redirecting supply from the United States, Australia, and other producers to fill the gap. That response rests on an assumption that does not survive mathematical scrutiny. Global spare LNG capacity before the crisis stood at roughly 15 billion cubic meters. Qatar's disrupted volume is 110 billion cubic meters. This gap cannot be closed on any timeline that matters for the decisions being made right now.

This report makes a more specific argument: the LNG shock will not be absorbed. It will be redistributed, with the pain falling first and hardest on the most import-dependent economies, then cascading into industrial systems that most risk assessments have not connected to an energy supply shock. The attempt to fill the gap will simultaneously accelerate a structural restructuring of Asian LNG contracting that will outlast the conflict itself.

— **The arithmetic rules out substitution.** Global spare LNG capacity before the crisis was 15 billion cubic meters against 110 billion cubic meters at risk from Qatar. The US is running near full capacity with volumes locked into long-term contracts. Australian spare capacity is negligible and geographically constrained. No combination of available alternatives comes close.

— **The compatibility problem compounds the volume problem.** Not all LNG is interchangeable. Qatar's gas has specific compositional characteristics that differ from US and Australian supply. Terminals built for Qatari LNG require operational adjustments, and in some cases infrastructure modifications, before they can process alternative supply. This converts a volume shock into a structural supply chain problem with a multi-year resolution timeline.

— **Pain will fall in sequence, not simultaneously.** Pakistan faces immediate supply collapse. South and Southeast Asian importers follow. Europe and Asia are then competing for the same residual spot cargoes, driving prices to levels that force demand destruction in the most price-sensitive economies first.

— **The second-order effects are underpriced.** Qatar supplies roughly 30 per cent of global helium. Korea sources approximately 65 per cent of its helium from Qatar. Helium is a semiconductor input. Fertilizer supply chains dependent on Gulf energy face the same exposure. These are not marginal effects; they are material downstream risks that energy-sector analysis has largely missed.

— **The restructuring will outlast the conflict.** Even if Ras Laffan restarts, the crisis has permanently altered contracting behavior. Asian importers are already reassessing Gulf supply dependency. The beneficiaries are US Gulf Coast exporters, Canadian LNG, and a handful of other alternatives. The timeline for that restructuring is years, not months.

Key Findings

1. The substitution arithmetic does not work.

The starting point for any honest analysis of this crisis is a number that most commentary has treated as a caveat rather than a conclusion. Before the conflict began, global LNG import demand was approximately 578 billion cubic meters per year against export capacity of approximately 593 billion cubic meters. The margin between them, around 15 billion cubic meters, was the entirety of the world's spare LNG capacity.

Qatar's disrupted volume is 110 billion cubic meters per year. The two damaged trains at Ras Laffan alone account for 12.8 million tons of annual production, with the CEO of QatarEnergy stating publicly that repairs will take three to five years. The Strait of Hormuz closure has stopped the remaining operational trains from exporting in any case.

15 bcm Global spare LNG capacity (pre-crisis)	**110 bcm** Qatar volume at risk	**~20%** Share of global LNG supply disrupted	**3-5 yrs** QatarEnergy repair timeline

The US is the world's largest LNG exporter, but its plants are operating at 95 to 98 per cent utilization, with most production locked into long-term contracts. The additional volume that could plausibly come online in the near term amounts to roughly two billion cubic feet per day, a fraction of the ten billion cubic feet per day gap left by Qatar. Venture Global's Plaquemines project and Cheniere's Corpus Christi Stage 3 represent the most significant near-term additions, but most of their contracted volume is already committed to existing buyers.

Australia ships approximately 11 billion cubic feet per day but has negligible spot cargo availability. Legacy Australian projects are expected to reduce output over the next several years as fields mature. Algeria and Nigeria can provide incremental volumes to Europe, but neither can be scaled rapidly. Russia holds LNG capacity, but sanctions preclude it from playing a compensating role in Western markets.

The conclusion is not complicated. There is no combination of available alternative supply that comes close to replacing Qatar's volumes on any timeline relevant to the decisions being made this month. Partial substitution will occur at a price premium that itself constitutes a form of demand destruction.

2. The compatibility problem turns a volume gap into a structural problem.

Volume is only part of the substitution challenge. LNG varies significantly in gross heating value and methane content depending on its origin. Qatar's LNG has specific compositional characteristics that differ materially from US Gulf Coast supply, which carries higher methane content, and from Australian production.

Regasification terminals are engineered for specific LNG compositions. The equipment controlling gas quality, the safety systems calibrated to particular pressure and temperature ranges, and the downstream pipeline specifications are all designed around the source supply. A terminal built to receive Qatari LNG does not automatically receive US or Australian LNG without operational adjustment. In some cases, infrastructure modifications are required before the switch can be made safely.

This is why the Qatar Financial Centre's post-crisis analysis concluded that long-term infrastructure adaptation will be required for importers to pivot. The most exposed importers are those whose terminal infrastructure is most specifically calibrated to Qatari supply. Pakistan sourced approximately 99 per cent of its LNG from Qatar in 2025. Belgium and Italy, both facing *force majeure* declarations from QatarEnergy, face similar infrastructure adjustment requirements before alternative supply can be received at scale.

> **STRUCTURAL CONSTRAINT**
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> The compatibility issue layers a capital investment problem on top of a volume problem. Even as new US and Australian LNG capacity comes online through 2027 and beyond, the import-side infrastructure in many affected markets will need to be adapted before that capacity can actually be received. The investment and permitting timelines for those adaptations extend the supply restructuring timeline further than the volume arithmetic alone would suggest.

3. Pain will fall in sequence. The sequencing matters.

The supply shock will not be experienced uniformly. It will follow a sequence determined by import dependency, existing contract structures, storage capacity, and the ability to pay spot market premiums. Understanding that sequence is the most operationally useful analysis for decision-makers right now.

Pakistan is the most acute case. Approximately 99 per cent of its LNG imports came from Qatar in 2025. Its last cargoes from Ras Laffan arrived in the first days of the conflict. The country has no meaningful access to spot cargoes at current prices. Industrial curtailment and household rationing are not scenarios for Pakistan; they are current conditions.

South and Southeast Asia follows. India, Bangladesh, Thailand, and the Philippines all carry significant Qatar dependency without the financial reserves to absorb prolonged spot market premiums. Many of these countries have already implemented demand reduction measures. The four-day working week that some have adopted represents demand destruction operating as policy, not as choice.

Europe and Northeast Asia occupy a different position but not a comfortable one. Japan, South Korea, and European buyers have more diversified supply bases, better storage infrastructure, and greater financial capacity to pay spot premiums. But they are now competing for the same residual cargoes. European wholesale gas prices surged approximately 52 per cent in the immediate aftermath of the disruption. Asian LNG spot prices moved in near-lockstep with conflict intensity. That competition will not resolve in favour of lower prices while the Strait remains closed.

> **NON-OBVIOUS RISK: SEMICONDUCTORS**
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> South Korea presents a specific vulnerability that extends beyond its gas supply exposure. Qatar supplies approximately 30 per cent of global helium, and Korea sourced around 65 per cent of its helium from Qatar in 2025. Helium is a critical input in semiconductor manufacturing, used for temperature control and contamination removal. If supply restrictions extend beyond six weeks, the limit that current inventories can sustain, Korean chipmakers may need to adjust production schedules or shift toward higher-value products. This is not an energy story. It is a semiconductor supply chain story, and it has not been priced into most risk assessments.

4. Demand destruction is not a tail risk. It is the base case.

Much of the public commentary on this crisis has framed demand destruction as an undesirable outcome to be avoided through smart policy and supply substitution. That framing is mistaken. Given the arithmetic of the supply gap, demand destruction is the mechanism through which the market will clear. The policy question is not whether it occurs but how it is distributed and managed.

The most price-sensitive industrial consumers will curtail first. Energy-intensive manufacturing, including fertilizer production, glass, ceramics, and petrochemicals, faces the fastest adjustment. In economies where gas is a significant power generation input, electricity rationing follows. The downstream effects of fertilizer production disruption extend into agricultural supply chains on a six to twelve month lag, a consequence largely absent from current energy crisis analysis.

Coal switching is the most immediately available alternative for power generation in markets with existing infrastructure. Governments will frame it as temporary. In markets with limited financial capacity to sustain spot gas premiums, the political economy of reverting to gas once the crisis passes is more complicated than the crisis-response framing suggests. Carbon commitments that were credible before the disruption will face sustained pressure in markets where coal switching becomes normalized.

For buyers with financial capacity to remain in the spot market, the question is how long they can sustain the premium before political pressure forces a different response. European governments that spent three years building public narratives around energy security after the Russia shock are now facing a second major supply disruption in four years. The political economy of prolonged demand destruction in European industrial sectors will not be patient.

5. Alternative suppliers will benefit, but not quickly and not fully.

The crisis will accelerate investment in non-Gulf LNG supply, but the timeline for that investment to produce material volumes is measured in years rather than months. This distinction matters enormously for near-term planning.

The US Gulf Coast is the largest potential beneficiary. Expansions at Plaquemines, Corpus Christi Stage 3, and Golden Pass are in advanced stages of construction or early production. Additional regulatory approvals could unlock incremental volume from Venture Global. But the combined near-term addition from these sources amounts to a fraction of the Qatar gap, and most contracted volumes are already committed to existing buyers.

Canada's LNG Canada project, targeting approximately 14 million tons per annum primarily for Asian markets, represents the most significant medium-term addition from a non-US source. The crisis materially strengthens the investment case for a second phase and for additional Canadian projects that were marginal before the disruption. Argentina's floating LNG projects, which have shorter development timelines than conventional onshore liquefaction, have also attracted renewed interest as a supply flexibility mechanism.

The geographic constraint on Australian supply deserves specific attention. Australia can redirect volumes toward Europe in principle, but the shipping distance is substantially greater than from the Gulf, adding cost and transit time. Australia's supply is well-positioned for Asian markets but is already largely contracted into those markets. The crisis does not unlock Australian spare capacity; it creates pressure to renegotiate contract terms that have historically prioritized price certainty over spot flexibility.

> **KAZAKHSTAN NOTE**
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> Kazakhstan is sometimes cited in discussions of alternative energy supply given its substantial hydrocarbon resources. It is not a relevant factor in this crisis. Kazakhstan is landlocked, with no LNG export infrastructure and no viable route to seaborne LNG markets that does not transit Russia. Its gas exports are pipeline-bound and regionally constrained. It does not belong in the substitution analysis.

6. The crisis will permanently restructure Asian LNG contracting.

Even if Ras Laffan restarts, the contracting landscape that existed before the conflict will not be restored. The crisis has made concentration risk visible in a way that no stress test or scenario analysis had previously achieved. Asian importers who held 20-year contracts with QatarEnergy had effectively constructed their energy security around the assumption that Ras Laffan was inviolable. That assumption is gone.

The immediate contracting response from major Asian buyers will be diversification, not just in source but in contract structure. Long-term single-source contracts will give way to portfolios that blend long-term commitments across multiple suppliers with higher spot market participation. This structurally increases demand for non-Gulf LNG on a sustained basis, which is the investment signal that will unlock the next generation of US, Canadian, and Australian capacity.

The *force majeure* declarations from QatarEnergy on contracts with Korea, China, Italy, and Belgium are themselves a restructuring event. Buyers who lose their contractual supply for three to five years will not simply wait for Ras Laffan to restart. They will sign replacement contracts with other suppliers. Some of those contracts will be long-term. Qatar will face a structurally reduced market position when it eventually returns to full capacity, even if the absolute volume of its output is eventually restored.

For the US, the crisis is a commercial windfall and a geopolitical opportunity simultaneously. The administration has strong incentives to accelerate LNG export approvals and to use supply commitment as a tool of alliance management with European and Asian partners. The trade policy implications of that dynamic extend well beyond energy markets.

Forward-Looking Implications

The following horizon assessment distinguishes between conditions that are already locked in, those contingent on conflict duration, and those dependent on variables that remain genuinely uncertain.

Near Term (0-3 months)	The final pre-blockade LNG cargoes arrive at their destinations, ending the buffer period. Import-dependent economies shift from anticipating a supply cliff to managing one. Demand destruction measures expand from industrial curtailment to broader energy rationing in the most exposed markets. Spot prices remain elevated as Europe and Asia compete for residual non-Gulf supply. Coal switching accelerates in power generation where infrastructure permits. The helium shortage becomes acute in semiconductor manufacturing if the disruption extends beyond six weeks. No material new supply enters the market in this window.
Medium Term (3-18 months)	Conflict duration becomes the dominant variable. If the Strait reopens and undamaged Ras Laffan trains restart, partial supply restoration occurs but the two damaged trains remain offline for years. Asian buyers begin signing replacement long-term contracts with US and Australian suppliers; this process is already underway. New US Gulf Coast volumes from projects in advanced construction begin reaching the market but remain far short of the Qatar gap. Canada's LNG Canada volumes provide meaningful incremental Asian supply. Terminal infrastructure adaptation in key import markets begins, extending the structural adjustment timeline. European governments face political pressure from industrial curtailment and manage public narratives around a second major gas supply crisis in four years.
Long Term (18 months+)	A permanently restructured Asian LNG contracting landscape takes shape, with Gulf supply carrying explicit geopolitical risk premia and portfolio diversification becoming standard rather than exceptional. US Gulf Coast LNG, combined with Canadian supply, establishes a structurally larger Asian market share than existed before the crisis. Qatar, when it returns to full capacity, re-enters a market that has reorganized around its absence. The investment case for floating LNG and smaller-scale import infrastructure strengthens in markets that previously lacked it. The energy transition timeline in the most affected economies is complicated, not accelerated, by a crisis that has required coal switching and demand destruction at scale.

Actionable Takeaways

Each of the following is a concrete action, not a general orientation. The underlying logic applies regardless of where in an organization these questions are being asked.

01 Map your gas exposure by end-use, not just by supply source.

Most corporate risk assessments track direct energy procurement exposure. The more important question is indirect exposure: which of your critical inputs are produced by energy-intensive processes that depend on gas supply in affected markets? Fertilizers, industrial chemicals, specialty glass, and semiconductor-adjacent materials all carry this exposure. If your supply chain includes tier-2 or tier-3 suppliers in Pakistan, Bangladesh, or other high-dependency markets, assume their operating capacity is under active constraint.

02 Do not conflate announced alternative supply with available alternative supply.

Project announcements from US and Australian producers will increase in frequency as the crisis deepens. The relevant question for planning purposes is not whether a project exists, but when it delivers contracted volumes, to whom, and under what terms. Most near-term US capacity additions are already committed. Treat producer announcements as signals about the medium-term restructuring, not as near-term supply relief.

03 Treat helium exposure as a semiconductor risk, not an energy risk.

If your organization has exposure to semiconductor supply chains, assess helium inventory levels and alternative sourcing options immediately. The six-week inventory threshold is an operational trigger, not a planning assumption. The window to secure alternative helium supply from US, Russian, or Algerian sources is narrowing as other buyers arrive at the same conclusion.

04 Use the contracting dislocation as a commercial intelligence signal.

QatarEnergy's force majeure declarations on long-term contracts create a secondary market effect: buyers seeking replacement supply are signing new contracts under crisis conditions, at prices and terms that will define their cost structures for a decade. The contracting behavior of major Asian and European utilities over the next six months is a leading indicator of medium-term price floors and the emerging supply architecture.

05 Do not assume coal switching is temporary in the markets that adopt it.

Governments will frame coal switching as a crisis measure. In markets with existing coal infrastructure and limited financial capacity to sustain spot gas premiums, the political economy of reverting to gas once the crisis passes is more complicated than the crisis-response framing suggests. Carbon commitments that were credible before the disruption will face sustained pressure in markets where coal switching has become normalized.

06 Monitor the US export approval pipeline as a trade policy signal, not just an energy signal.

The administration has strong incentives to accelerate LNG export approvals and to use supply commitment as a tool of alliance management with Japan, Korea, and European partners. Watch Department of Energy approval activity for signals about which bilateral relationships are being prioritized and what the implied trade terms are for partners who receive preferential supply access.

Indicators to Watch

The following are the specific signals that will determine how this situation develops. These are operational intelligence triggers, not background monitoring items.

01 Strait of Hormuz transit status

The foundational variable. Every other indicator is contingent on whether the Strait remains closed. Monitor vessel tracking data for any resumption of LNG carrier transits. A partial reopening allowing commercial traffic under specific conditions is a different scenario from a full reopening and requires separate analysis.

02 QatarEnergy damage assessment and restart timeline

The CEO's three-to-five-year repair estimate for the two damaged trains is the current public reference point. Any revision in either direction is a material market signal. Watch for engineering assessments, insurance settlement timelines, and equipment procurement activity as proxies for the actual repair trajectory.

03 *Force majeure* litigation and contract renegotiation outcomes

QatarEnergy has declared *force majeure* on contracts with Korea, China, Italy, and Belgium. The legal and commercial resolution of those declarations will set precedents for how long-term LNG contracts handle geopolitical supply disruption. Watch for arbitration filings and public statements from counterparties about replacement contracting activity.

04 US Department of Energy export approval decisions

The pace and targeting of additional LNG export approvals will signal which bilateral relationships the administration is prioritizing. Approvals directed toward specific Asian or European markets carry trade policy implications beyond their energy market significance.

05 Helium spot price and semiconductor inventory disclosures

Helium is not widely traded on public exchanges, but spot price movements and any public disclosures from major chipmakers about inventory levels will signal when the six-week threshold is approaching. Samsung, SK Hynix, and TSMC supplier disclosures are the primary indicators to monitor.

06 Asian utility long-term contracting activity

The replacement contracting behavior of JERA, KOGAS, and major Chinese importers over the next six to twelve months will define the post-crisis supply architecture. Each contract signed with a US, Canadian, or Australian supplier represents a structural shift away from Gulf dependency. Track the volume, duration, and pricing terms of these contracts as the clearest leading indicator of the medium-term restructuring.

The core analytical conclusion of this report is uncomfortable for policymakers and corporate risk teams alike. The LNG gap left by Qatar's disruption cannot be filled. It will be redistributed as pain, falling first on the most exposed and least resilient economies, then working its way through industrial supply chains that most assessments have not mapped to an energy supply shock. The attempt to manage that redistribution through spot market participation, emergency approvals, and diplomatic supply commitments will reshape the global LNG contracting landscape more durably than the crisis itself.

The operational question is not whether substitution is possible in theory. It is which organizations understand their actual exposure, across direct energy procurement and through their supply chains, in time to do something about it. That window is narrowing as the final pre-blockade tankers arrive and the real shock begins.

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